

MERIDIAN HARBOR FINANCIAL CORP.

Pillar 3 Regulatory Capital Disclosures

Basel III Pillar 3 disclosures for the fiscal year ended December 31,
2025

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SYNTHETIC DOCUMENT FOR A PROOF OF CONCEPT. Meridian Harbor Financial Corp. is a fictional institution. All names, figures and events are invented and do not describe any real company.

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1. Introduction and Scope

This report presents the Pillar 3 disclosures of Meridian Harbor Financial Corp. ("Meridian Harbor" or "the Firm") as of December 31, 2025. Pillar 3 complements the minimum capital requirements (Pillar 1) and the supervisory review process (Pillar 2) of the Basel III framework by requiring banks to publish information on their capital adequacy, risk exposures and risk management processes, enabling market participants to assess the Firm's capital position and risk profile.

The disclosures cover the consolidated bank holding company. The Firm's principal insured depository institution, Meridian Harbor Bank, N.A., is subject to separate capital requirements and is well capitalized. There are no restrictions or impediments on the transfer of funds or regulatory capital within the Firm beyond those generally applicable to U.S. bank holding companies.

The Firm is an advanced approaches banking organization and calculates risk-weighted assets under both the Standardized and Advanced approaches. The lower of each ratio under the two approaches - currently the Standardized approach - is used to assess capital adequacy (the "Collins Floor"). These disclosures are not required to be audited, but are subject to the Firm's disclosure controls and the review of the Disclosure Committee, and are consistent with information reported in the FR Y-9C, FFIEC 101 and FR Y-15.

Pillar 3 requirement	Location in this report
Scope of application	Section 1
Capital structure	Section 3
Capital adequacy	Section 4
Capital conservation and buffers	Section 4.2
Leverage	Section 5
Credit risk: general disclosures	Section 6
Counterparty credit risk	Section 7
Securitization	Section 8
Market risk	Section 9
Operational risk	Section 10
Interest rate risk in the banking book	Section 11
Liquidity (LCR and NSFR)	Section 12
Stress testing and capital planning	Section 13
Model risk and data governance	Sections 14-15

2. Risk Management Framework and Governance

The Firm's risk management framework is designed to identify, measure, monitor, manage and report all material risks. The Board of Directors oversees risk through its Risk Committee, Audit Committee and Compensation Committee. The Chief Risk Officer, Dana K. Whitfield, reports to the Chief Executive Officer and to the Board Risk Committee, and leads an independent risk management function organized by risk stripe (credit, market, liquidity, model, operational, compliance and reputational).

The Firm applies the three lines of defense model. The lines of business and Treasury/CIO are the first line and own the risks they generate. Independent Risk Management and Compliance are the second line, setting risk appetite, policies and limits, and challenging the first line. Internal Audit is the third line, providing independent assurance to the Audit Committee.

Risk appetite

The Board-approved risk appetite framework expresses the types and amount of risk the Firm is willing to take, using quantitative parameters calibrated to stressed earnings, capital and liquidity outcomes. Key parameters include: maintaining a Standardized CET1 ratio above the management target in the baseline plan and above regulatory minimums plus buffers under severe stress; maintaining liquidity sources that exceed stressed outflows over a 90-day horizon; and limiting the decline in 12-month net interest income under a 200 basis point parallel rate shock to 7% of base NII.

Risk appetite metric	Limit / threshold	Dec 31, 2025	Status
Standardized CET1 ratio (baseline)	$\geq 13.0\%$	15.08%	Within
Minimum stressed CET1 ratio (internal severely adverse)	$\geq 10.2\%$	12.6%	Within
Supplementary leverage ratio	$\geq 5.5\%$	6.1%	Within
LCR (average)	$\geq 110\%$	116%	Within
NII decline under -200 bp shock	$\leq 7.0\%$	6.0%	Within
EVE decline under +200 bp shock (% Tier 1)	$\leq 15.0\%$	2.5%	Within
Card net charge-off rate (annual)	$\leq 4.5\%$	3.42%	Within
Single-name wholesale exposure (% Tier 1)	$\leq 10\%$	4.8%	Within

Committees

- **Firmwide Risk Committee** - senior management forum for firmwide risk issues; chaired by the CEO and CRO.
- **Asset and Liability Committee (ALCO)** - oversees liquidity, interest rate and capital risk; reviews outputs of the NII Sensitivity Model monthly.
- **Capital Governance Committee** - oversees the capital plan, CCAR submission and capital actions; owns outputs of the Capital Planning & Stress Projection Model.
- **Allowance Committee** - approves scenario weights, CECL model outputs and qualitative overlays each quarter.
- **Firmwide Model Risk Committee** - approves Tier 1 models and model risk appetite.
- **Data and Technology Risk Committee** - oversees critical data elements, API change management and BCBS 239 compliance.

3. Capital Structure

Regulatory capital consists of Common Equity Tier 1 (CET1) capital, Additional Tier 1 capital and Tier 2 capital. CET1 capital comprises common stock, related surplus, retained earnings and accumulated other comprehensive income (AOCI), less regulatory deductions and adjustments. As a Category I firm, the Firm includes AOCI related to available-for-sale securities in CET1.

Reconciliation of common equity to CET1 (in millions)	Dec 31, 2025
Common stockholders' equity	116,240
Less: goodwill, net of associated deferred tax liabilities	(14,210)
Less: other intangible assets, net of associated DTLs	(2,150)
Add: cash flow hedge losses in AOCI (reversed)	3,420
Less: deferred tax assets from net operating loss and tax credit carryforwards	(1,380)
Less: defined benefit pension fund net assets	(1,240)
Less: other CET1 deductions and adjustments	(2,230)
Common Equity Tier 1 capital	98,450
Add: qualifying non-cumulative perpetual preferred stock	12,500
Less: Additional Tier 1 deductions	(330)
Tier 1 capital	110,620
Add: qualifying subordinated debt	11,900
Add: qualifying allowance for credit losses	6,380
Total capital (Standardized)	128,900

CET1 capital increased by \$5.3 billion during 2025, primarily reflecting net income of \$25.0 billion, partly offset by common dividends of \$6.1 billion, share repurchases of \$11.0 billion, preferred dividends of \$1.1 billion and other movements including AOCI. Starting capital figures used in the Capital Planning & Stress Projection Model are sourced from the Regulatory Reporting API (API-16), which delivers the same governed data used to prepare these disclosures and the FR Y-9C.

Capital instruments

Instrument	Amount (\$mm)	Coupon	Call date	Regulatory treatment
Common stock (1,388.8 million shares outstanding)	-	-	-	CET1
Series AA non-cumulative preferred	2,500	5.75% fixed	2026	Additional Tier 1
Series CC non-cumulative preferred	3,000	SOFR + 3.12%	2027	Additional Tier 1
Series DD non-cumulative preferred	4,000	6.10% fixed-to-floating	2029	Additional Tier 1
Series EE non-cumulative preferred	3,000	6.50% fixed reset	2030	Additional Tier 1
Subordinated notes due 2033-2045	11,900	4.25%-6.80%	n/a	Tier 2 (amortizing in final 5 years)

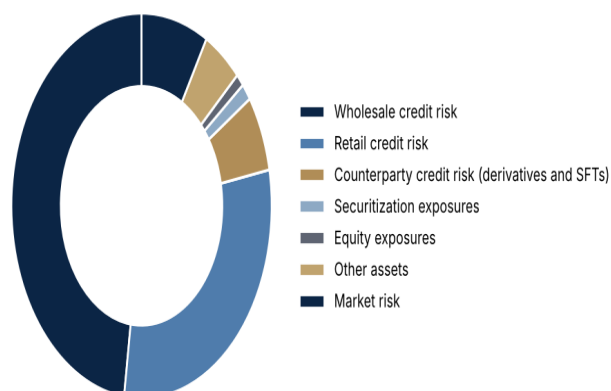
4. Capital Adequacy

4.1 Risk-weighted assets

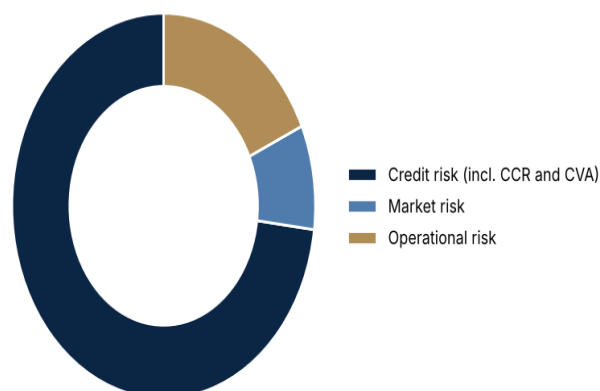
Standardized RWA by exposure type (in millions)	RWA	% of total	Capital requirement (8%)
Wholesale credit risk	312,400	47.9%	24,992
Retail credit risk	196,800	30.1%	15,744
Counterparty credit risk (derivatives and SFTs)	41,600	6.4%	3,328
Securitization exposures	9,300	1.4%	744
Equity exposures	6,900	1.1%	552
Other assets	31,600	4.8%	2,528
Market risk	54,200	8.3%	4,336
Total Standardized RWA	652,800	100.0%	52,224

Advanced RWA by risk type (in millions)	RWA	% of total
Credit risk (incl. CCR and CVA)	451,500	73.0%
Market risk	54,200	8.8%
Operational risk	112,600	18.2%
Total Advanced RWA	618,300	100.0%

Standardized RWA mix



Advanced RWA mix



Standardized RWA increased by \$18.9 billion in 2025, driven by loan growth in Card and C&I (+\$14.2 billion), higher counterparty credit risk from increased client derivative activity (+\$3.1 billion) and higher market risk RWA (+\$1.6 billion). Advanced RWA increased by \$14.2 billion, with lower growth than Standardized because internal PD and LGD estimates for the Card portfolio, delivered by the Credit Risk Scoring API (API-10), reflect the high credit quality of new originations.

4.1a RWA flow statement

Standardized RWA movement, 2025 (in millions)	Credit risk	Market risk	Total
RWA at December 31, 2024	581,300	52,600	633,900
Loan and commitment growth	14,200	-	14,200
Changes in counterparty exposure (derivatives and SFTs)	3,100	-	3,100
Changes in asset quality and collateral	(1,400)	-	(1,400)
Securities portfolio repositioning	1,700	-	1,700
Changes in market risk positions and model updates	-	1,600	1,600
Foreign exchange movements and other	(300)	-	(300)
RWA at December 31, 2025	598,600	54,200	652,800

Credit risk RWA growth was concentrated in retail credit risk (Card, +\$9.8 billion) and wholesale lending to middle-market clients (+\$4.4 billion). The improvement in asset quality and collateral primarily reflects higher eligible collateral on securities-based lending in Asset & Wealth Management. Market risk RWA rose with higher stressed VaR in rates trading during the second quarter.

4.1b Countercyclical capital buffer - geographic distribution

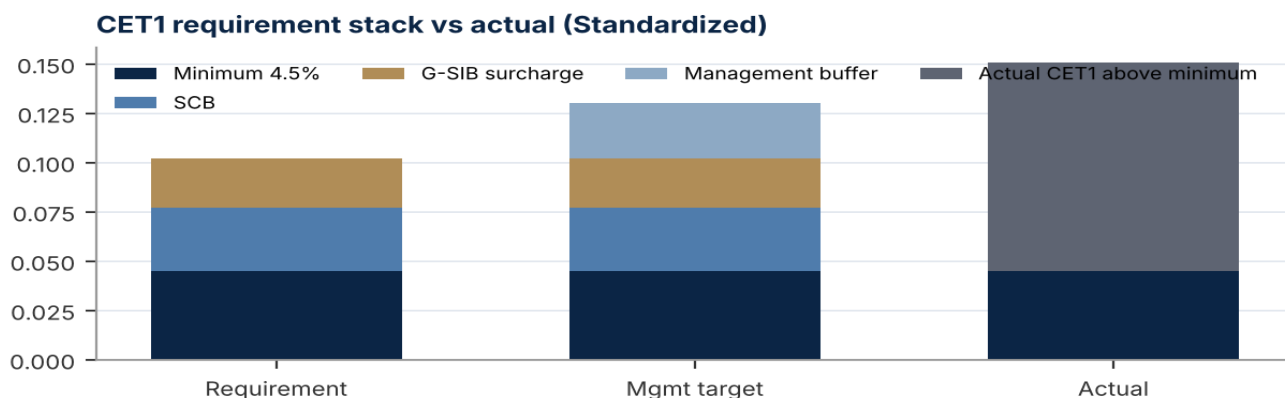
Jurisdiction	Private-sector credit exposure RWA (\$mm)	CCyB rate	Weighted contribution
United States	512,600	0.00%	0.000%
United Kingdom	18,400	2.00%	0.064%
Germany	9,800	0.75%	0.013%
France	8,200	1.00%	0.014%
Hong Kong	6,100	0.50%	0.005%
Other jurisdictions	18,700	0.00%-1.00%	0.012%
Firm-specific CCyB (applied to non-U.S. exposure only; U.S. buffer is 0%)	573,800		0.108%

The U.S. CCyB applicable to the Firm's Standardized and Advanced buffers is set at 0%; the foreign-jurisdiction figures are shown for transparency and Advanced approaches computation.

4.2 Capital ratios and buffers

Capital ratios	Standardized	Advanced	Regulatory requirement	Well-capitalized
CET1 ratio	15.08%	15.92%	10.2%	n/a
Tier 1 ratio	16.95%	17.89%	11.7%	6.0%
Total capital ratio	19.75%	20.54%	13.7%	10.0%

The Firm's capital conservation buffer requirement under the Standardized approach equals the stress capital buffer (3.2%) plus the G-SIB surcharge (2.5%) plus the countercyclical capital buffer (currently 0%). Under the Advanced approaches, the buffer is 2.5% plus the G-SIB surcharge and countercyclical buffer. At December 31, 2025 the Firm's Standardized capital conservation buffer was 10.58%, well above the 5.7% required, and the Firm was not subject to any limitations on distributions or discretionary bonus payments. Eligible retained income was \$23.9 billion.



5. Leverage

The supplementary leverage ratio (SLR) is Tier 1 capital divided by total leverage exposure, which includes on-balance-sheet assets and certain off-balance-sheet exposures. As a G-SIB, the Firm is subject to a 3.0% minimum SLR plus a 2.0% enhanced SLR buffer, for an effective requirement of 5.0%. The Tier 1 leverage ratio (Tier 1 capital to average on-balance-sheet assets) minimum is 4.0%.

Total leverage exposure (in millions)	Dec 31, 2025
On-balance-sheet assets	1,418,560
Less: Tier 1 capital deductions and other adjustments	(19,000)
Derivative exposures (replacement cost + PFE)	98,600
Securities financing transaction exposures	142,500
Off-balance-sheet exposures (after credit conversion factors)	171,340
Total leverage exposure	1,812,000
Tier 1 capital	110,620
Supplementary leverage ratio	6.10%
Tier 1 leverage ratio	7.91%

6. Credit Risk

Credit risk arises from lending, lending-related commitments, derivatives, securities financing and investment securities. The Firm's credit risk management framework covers origination standards, concentration limits, ongoing monitoring, problem-loan management and reserving. Consumer credit decisions use automated scorecards delivered by the Credit Decisioning API (API-09). Wholesale credit decisions are made by credit officers with delegated authority based on internal risk ratings, which map to PD estimates produced by the Credit Risk Scoring API (API-10).

6.1 Credit exposure by type and geography

Credit exposure (in billions)	Loans	Commitments	Derivatives	Securities	Total
United States	\$632.4	\$498.1	\$31.2	\$140.6	\$1,302.3
Europe, Middle East and Africa	\$64.8	\$71.3	\$13.8	\$18.4	\$168.3
Asia-Pacific	\$29.7	\$34.9	\$6.1	\$8.1	\$78.8
Latin America and Canada	\$15.4	\$18.6	\$1.9	\$3.8	\$39.7
Total	\$742.3	\$622.9	\$53.0	\$170.9	\$1,589.1

6.2 Residual contractual maturity

Exposure by maturity (in billions)	< 1 year	1-5 years	> 5 years	Total
Consumer loans	\$92.1	\$118.6	\$235.2	\$445.9
Wholesale loans	\$86.4	\$168.2	\$41.8	\$296.4
Lending-related commitments	\$198.7	\$389.2	\$35.0	\$622.9
Derivative receivables	\$19.4	\$21.2	\$12.4	\$53.0
Total	\$396.6	\$697.2	\$324.4	\$1,418.2

6.2a Wholesale credit exposure by industry

Industry (in billions)	Loans	Commitments	Derivatives	Total	Investment grade
Real estate	\$98.2	\$38.9	\$0.8	\$137.9	63%
Technology, media & telecom	\$31.4	\$94.7	\$5.5	\$131.6	73%
Consumer & retail	\$34.8	\$78.6	\$5.6	\$119.0	61%
Industrials	\$29.1	\$70.4	\$4.8	\$104.3	66%
Banks & finance companies	\$22.6	\$46.1	\$27.5	\$96.2	86%
Asset managers	\$18.2	\$55.4	\$14.8	\$88.4	84%
Healthcare	\$19.7	\$58.6	\$4.2	\$82.5	72%
Oil & gas and utilities	\$16.4	\$50.3	\$5.1	\$71.8	68%
Individuals and individual entities	\$46.3	\$18.2	\$2.4	\$66.9	79%
State and municipal governments	\$12.1	\$21.9	\$3.6	\$37.6	94%
All other	\$47.6	\$222.0	\$8.3	\$277.9	77%
Total wholesale	\$376.4	\$755.1	\$82.6	\$1,214.1	74%

Concentration limits are set by industry, country and single name, and are monitored daily. The largest industry concentration, real estate, is dominated by multifamily lending in supply-constrained U.S. markets. Office exposure of \$15.2 billion is 1.3% of total wholesale credit exposure. Exposures to banks and finance companies and to asset managers are predominantly short-dated, collateralized derivative and SFT exposures.

6.2b Equity exposures in the banking book

Equity exposures (in millions)	Carrying value	RWA
Publicly traded equity investments	1,240	1,860
Private equity and venture investments	2,180	3,270
Tax-oriented investments (affordable housing, renewable energy)	1,180	1,180
Equity investments in unconsolidated funds	390	590
Total	4,990	6,900

6.3 Exposure by PD band (Advanced approaches)

PD band	Wholesale EAD (\$bn)	Avg PD	Avg LGD	Avg risk weight	Retail EAD (\$bn)	Retail avg PD
0.00% to < 0.15%	\$412.6	0.06%	33%	17%	\$188.4	0.05%
0.15% to < 0.50%	\$231.8	0.29%	35%	38%	\$121.6	0.31%
0.50% to < 2.50%	\$154.2	1.18%	37%	71%	\$96.3	1.24%
2.50% to < 10.00%	\$41.7	4.92%	39%	118%	\$48.1	5.06%
10.00% to < 100%	\$9.8	21.4%	41%	191%	\$12.7	24.8%
100% (default)	\$4.1	100%	44%	n/a	\$3.9	100%
Total	\$854.2	1.21%	35%	45%	\$471.0	2.09%

PD, LGD and EAD parameters for Advanced approaches capital are estimated by the Firm's internal ratings systems and served to capital calculators and the CECL model through the Credit Risk Scoring API (API-10). Regulatory capital parameters are through-the-cycle estimates with regulatory floors, whereas parameters used for CECL are point-in-time estimates conditioned on macroeconomic scenarios; the API exposes both parameter sets through separate endpoints.

6.4 Impaired and past-due exposures; allowance

Portfolio segment (in millions)	Loans	Nonaccrual	90+ days past due	Allowance	2025 NCOs
Credit Card	138,400	-	1,633	8,640	4,620
Residential Mortgage	218,600	2,140	410	820	40
Auto	64,900	190	120	690	410
Commercial Real Estate	98,200	1,420	180	2,470	380
Commercial & Industrial	172,500	1,260	160	2,760	560
Other Consumer & Wholesale	49,700	140	40	540	90
Total	742,300	5,150	2,543	15,920	6,100

The allowance is calculated under ASC 326 using the CECL Lifetime Expected Credit Loss Model (MDL-CR-007) and includes qualitative overlays of \$681 million approved by the Allowance Committee. Up to 1.25% of credit RWA of the allowance (\$6,380 million) qualifies as Tier 2 capital under the Standardized approach.

6.5 Credit risk mitigation

The Firm mitigates credit risk through collateral, guarantees, credit derivatives and netting agreements. Eligible financial collateral for Standardized RWA purposes includes cash, U.S. Treasury and agency securities, and investment-grade debt and main-index equities. At December 31, 2025, exposures covered by eligible financial collateral totaled \$214 billion, by guarantees \$18 billion and by single-name credit derivatives \$31 billion. Collateral values are refreshed daily using prices from the Market Data API (API-12).

7. Counterparty Credit Risk

Counterparty credit risk (CCR) arises from derivatives and securities financing transactions (SFTs). The Firm measures CCR exposure using the standardized approach for counterparty credit risk (SA-CCR) for Standardized RWA and the internal models methodology for Advanced RWA. Credit valuation adjustment (CVA) capital is calculated using the advanced CVA approach.

CCR exposure (in millions)	Exposure at default	RWA (Standardized)
OTC derivatives - bilateral	62,400	24,300
OTC derivatives - centrally cleared	18,900	1,100
Exchange-traded derivatives	9,700	600
Securities financing transactions	54,200	9,800
Default fund contributions to CCPs	2,400	5,800
Total	147,600	41,600

Derivative notional and fair value (in billions)	Notional	Gross positive fair value	Net after netting & collateral
Interest rate contracts	\$38,420	\$214.6	\$18.2
Credit derivatives	\$1,410	\$11.8	\$1.7
Foreign exchange contracts	\$9,860	\$121.3	\$14.4
Equity contracts	\$2,240	\$48.9	\$6.3
Commodity contracts	\$410	\$16.2	\$3.8
Total	\$52,340	\$412.8	\$44.4

CVA RWA was \$26.1 billion under the Advanced approach. Wrong-way risk is monitored at the counterparty and portfolio level. The Firm would be required to post approximately \$2.1 billion of additional collateral in the event of a one-notch downgrade and \$4.6 billion for a two-notch downgrade.

8. Securitization

The Firm participates in securitization as originator (credit card master trust, residential mortgage), sponsor (client-driven asset-backed commercial paper conduits) and investor (agency and non-agency mortgage-backed securities, CLOs). Securitization exposures are risk-weighted under the simplified supervisory formula approach (SSFA) or, where applicable, the 1,250% risk weight.

Securitization exposures (in millions)	Exposure	RWA
Retained interests - credit card master trust	8,200	1,640
Investments in non-agency MBS and ABS	21,400	3,980
Investments in CLOs (senior tranches)	12,600	2,520
Liquidity facilities to sponsored conduits	4,900	980
Exposures subject to 1,250% risk weight	14	180
Total	47,114	9,300

9. Market Risk

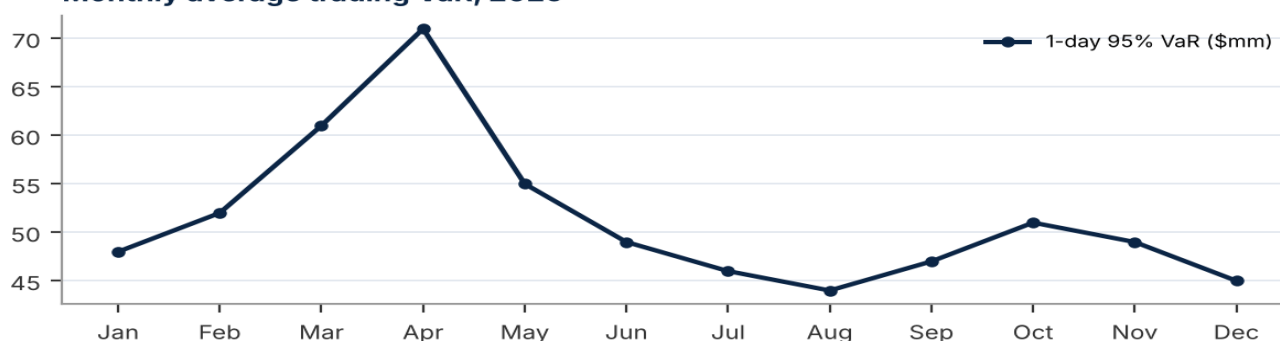
Market risk capital applies to covered positions - trading assets and liabilities and certain foreign exchange and commodity positions. The Firm uses internal models approved by its regulators for VaR, stressed VaR, the incremental risk charge (IRC) and the comprehensive risk measure, and the standardized specific risk charge for certain positions. Inputs - prices, curves, volatility surfaces and correlations - are sourced from the Market Data API (API-12) and FX Rates API (API-13), which are validated independently by the Valuation Control Group.

Market risk RWA components (in millions)	Dec 31, 2025	Dec 31, 2024
Regulatory VaR (10-day, 99%) x multiplier	11,400	11,100
Stressed VaR (10-day, 99%) x multiplier	21,900	21,200
Incremental risk charge	7,800	7,500
Comprehensive risk measure	1,300	1,400
Standardized specific risk	11,800	11,400
Total market risk RWA	54,200	52,600

Regulatory VaR (10-day, 99%, in millions)	Average	Minimum	Maximum	Period end
Interest rate	128	84	192	117
Credit spread	61	42	89	58
Equity	52	31	86	49
Foreign exchange	29	16	51	27
Commodity	22	12	37	19
Diversification	(132)	NM	NM	(121)
Total regulatory VaR	160	118	231	149

Backtesting compares daily trading results with the prior day's 1-day 99% VaR. There were 2 backtesting exceptions at the firmwide level in the twelve months to December 31, 2025, below the threshold of five that would increase the regulatory multiplier above 3.0.

Monthly average trading VaR, 2025



10. Operational Risk

Operational risk capital under the Advanced approaches is calculated using a loss distribution approach that combines internal loss data, external loss data, scenario analysis and business environment and internal control factors. Operational risk RWA was \$112.6 billion at December 31, 2025. Operational risk losses in 2025 totaled \$1.4 billion, of which 41% related to clients, products and business practices (primarily litigation), 28% to external fraud and 17% to execution, delivery and process management.

Technology and cyber risk are managed within the operational risk framework. Critical client-facing and regulatory data services, including eighteen production APIs on the Developer Platform, are subject to resilience testing, change management controls and continuous monitoring of availability and latency against service-level objectives.

11. Interest Rate Risk in the Banking Book

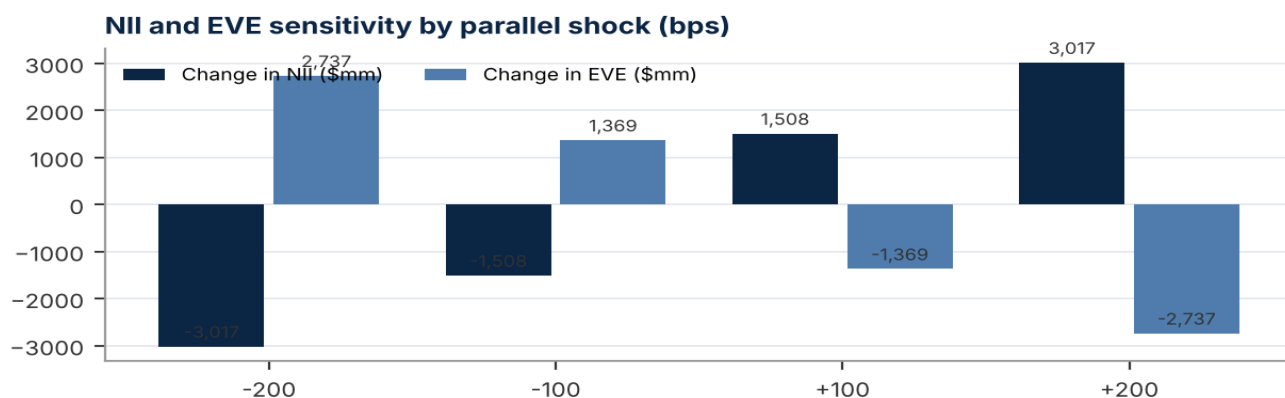
IRRBB is measured using both earnings-based (NII) and value-based (EVE) metrics. The Firm's primary earnings measure is produced by the Net Interest Income Sensitivity Model (MDL-ALM-014), a Tier 1 model owned by Corporate Treasury - Asset & Liability Management and validated by MRGR in September 2025.

Methodology and key assumptions

- Instantaneous, parallel shocks of +/-100 and +/-200 basis points applied to the December 31, 2025 balance sheet; static balance sheet with no growth or mix change.
- Repricing occurs at the midpoint of each repricing bucket: month 1.5 for 0-3 months and month 7.5 for 3-12 months; positions repricing after 12 months do not affect 12-month NII.
- Deposit betas: 0.45 consumer interest-bearing, 0.75 wholesale interest-bearing, 0.00 noninterest-bearing; betas held constant across shock sizes.
- EVE approximated using modified duration: noninterest-bearing deposits assigned a behavioral duration of 3.5 years and consumer interest-bearing deposits 2.8 years.
- Data: balances and rates from the Treasury Liquidity Positions API (API-15); repricing profiles from the Loan Servicing API (API-11); yield curve from the Market Data API (API-12).

Scenario	Change in 12-month NII (\$mm)	% of base NII	Change in EVE (\$mm)	EVE % of Tier 1
Down 200 bps	(3,017)	(6.0%)	2,737	2.5%
Down 100 bps	(1,508)	(3.0%)	1,369	1.2%
Up 100 bps	1,508	3.0%	(1,369)	(1.2%)
Up 200 bps	3,017	6.0%	(2,737)	(2.5%)

Base-case 12-month NII: \$50,237 million. Source: NII_Sensitivity_Model.xlsx.



Known limitations. The model does not capture non-parallel curve movements, basis risk, optionality in mortgage prepayments beyond the static repricing profile, or the convexity of deposit betas at very low rates. These are addressed through the quarterly dynamic simulation and supplemental scenario analysis reviewed by ALCO.

12. Liquidity

12.1 Liquidity coverage ratio

Q4 2025 average (in millions)	Unweighted	Weighted
High-quality liquid assets		286,000
Retail funding outflows	652,300	40,900
Unsecured wholesale funding outflows	415,700	168,900
Secured wholesale funding and asset exchange outflows		36,800
Additional requirements (derivatives, commitments)		122,200
Other outflows		13,600
Total cash outflows		382,400
Secured lending inflows		(74,300)
Inflows from fully performing exposures and other		(61,550)
Total cash inflows		(135,850)
Total net cash outflows		246,550
Liquidity coverage ratio		116%

12.2 Net stable funding ratio

NSFR components, Q4 2025 average (in millions)	Weighted amount
Available stable funding: regulatory capital and long-term debt	214,600
Available stable funding: retail and small business deposits	598,400
Available stable funding: wholesale funding and other	269,000
Total available stable funding (ASF)	1,082,000
Required stable funding: loans and securities	671,800
Required stable funding: HQLA, derivatives and other assets	142,700
Required stable funding: off-balance-sheet	30,800
Total required stable funding (RSF)	845,300
Net stable funding ratio	128%

Liquidity positions are aggregated daily through the Treasury Liquidity Positions API (API-15), which provides legal-entity-level views of HQLA, encumbrance and contractual cash flows to the liquidity stress testing engine, the LCR and NSFR calculators and the asset-liability management models.

13. Capital Planning and Stress Testing

The Firm's capital planning process integrates its strategic plan, risk appetite and stress testing. The Capital Planning & Stress Projection Model (MDL-CAP-003) projects CET1 capital, RWA and capital ratios over a nine-quarter horizon. The model combines pre-provision net revenue (PPNR), provisions and trading and counterparty losses produced by the enterprise stress testing program with the Firm's planned capital actions. Starting positions are sourced from the Regulatory Reporting API (API-16) and scenario variables from the Macroeconomic Scenario API (API-14).

Key conventions: under stress, share repurchases are suspended and dividends are held flat at the current level; tax benefits on losses are recognized at the effective tax rate; RWA growth follows scenario-specific assumptions reflecting increased draws on commitments and higher counterparty exposure early in the scenario.

Internal severely adverse scenario (peak / trough)	Value
U.S. unemployment rate (peak)	10.2%
U.S. real GDP (peak-to-trough)	-6.4%
Equity prices (S&P; 500-style index, trough)	-41%
House prices (trough)	-28%
Commercial real estate prices (trough)	-35%
10-year Treasury yield (trough)	0.9%
BBB corporate spread (peak)	+5.4 pp
Instantaneous global market shock	Applied in first quarter

Scenario paths are distributed to the CECL and capital planning models by the Macroeconomic Scenario API (API-14), scenario set SA-2025-INT.

Projection outputs from the model are not reproduced in this report because they are refreshed every quarter; the most recent projections are published in the Firm's quarterly earnings materials.

2025 supervisory stress test. In the 2025 CCAR cycle, the Federal Reserve's projected minimum CET1 ratio for the Firm under the supervisory severely adverse scenario was 12.1%, resulting in a stress capital buffer of 3.2%. The Firm's own projections under the same scenario, produced with MDL-CAP-003, showed a minimum CET1 ratio of 12.6%.

Reverse stress testing. The Firm also performs reverse stress tests to identify scenarios that would cause the CET1 ratio to fall below regulatory requirements. Scenarios examined in 2025 included a combined cyber event affecting payment systems with a simultaneous severe recession, and a sustained period of negative policy rates.

14. Model Risk Management and Model Inventory

Models used in the calculation of regulatory capital, the allowance for credit losses, liquidity metrics and interest rate risk are subject to the Firm's Model Risk Policy, aligned with SR 11-7. Models are tiered by materiality and complexity. Tier 1 models undergo annual independent validation by Model Risk Governance & Review (MRGR), quarterly ongoing performance monitoring and annual attestation by model owners. Material model changes require MRGR approval and, for regulatory capital models, regulatory notification.

The table below lists the Tier 1 models that most directly affect the figures in these disclosures, together with their upstream data dependencies. Each upstream API is registered as a critical data source in the model inventory; a breaking change to an API's schema or business logic automatically opens a model change review.

MDL-ALM-014 - Net Interest Income Sensitivity Model

Attribute	Detail
Model file	NII_Sensitivity_Model.xlsx
Risk tier	Tier 1 (High)
Model owner	Corporate Treasury - Asset & Liability Management
Independent validator	Model Risk Governance & Review (MRGR)
Last validation / next due	2025-09-18 / 2026-09-30
Purpose	Projects 12-month net interest income under parallel rate shocks and economic value of equity (EVE) sensitivity for IRRBB reporting.
Upstream APIs	API-12 Market Data API; API-15 Treasury Liquidity Positions API; API-11 Loan Servicing API
Downstream disclosures	Annual Report - Market Risk Management; Pillar 3 - Interest Rate Risk in the Banking Book

MDL-CR-007 - CECL Lifetime Expected Credit Loss Model

Attribute	Detail
Model file	CECL_Allowance_Model.xlsx
Risk tier	Tier 1 (High)
Model owner	Consumer & Wholesale Credit Risk - Allowance Methodology
Independent validator	Model Risk Governance & Review (MRGR)
Last validation / next due	2025-11-04 / 2026-11-30
Purpose	Estimates the allowance for credit losses under ASC 326 (CECL) using probability-weighted macroeconomic scenarios and PD x LGD x EAD.
Upstream APIs	API-10 Credit Risk Scoring API; API-11 Loan Servicing API; API-14 Macroeconomic Scenario API
Downstream disclosures	Annual Report - Allowance for Credit Losses (Note 6); Q2 2026 Earnings Supplement - Credit Trends

MDL-CAP-003 - Capital Planning & Stress Projection Model

Attribute		Detail
Model file		Capital_Planning_Model.xlsx
Risk tier		Tier 1 (High)
Model owner		Corporate Treasury - Capital Management
Independent validator		Model Risk Governance & Review (MRGR)
Last validation / next due		2026-02-27 / 2027-02-28
Purpose	Projects CET1 capital, RWA and capital ratios over a nine-quarter horizon under baseline and severely adverse scenarios to size distributions.	
Upstream APIs	API-16 Regulatory Reporting API; API-14 Macroeconomic Scenario API; API-15 Treasury Liquidity Positions API	
Downstream disclosures	Annual Report - Capital Risk Management; Pillar 3 - Capital Planning and Stress Testing	

2025 validation findings. MRGR's 2025 validation of MDL-CR-007 raised one medium-severity finding regarding the absence of an explicit model for unfunded commitments (remediated through an interim overlay) and one low-severity finding on documentation of the Card PD elasticity. The 2025 validation of MDL-ALM-014 raised a medium-severity finding that deposit betas are held constant across shock sizes; the compensating control is the quarterly dynamic simulation. MDL-CAP-003 was validated in February 2026 with no findings above low severity.

15. Risk Data Aggregation and API Data Lineage

The Firm complies with the BCBS 239 Principles for effective risk data aggregation and risk reporting. Risk and regulatory data flows are delivered through governed APIs on the Developer Platform, each with a named data owner, documented schema, data-quality rules and service-level objectives. The following table maps the APIs that feed regulatory and risk measures to the models and disclosures they support.

API	Data provided	Consuming models / calculations	Disclosure sections
API-10 Credit Risk Scoring API	Pool-level PD/LGD (point-in-time and TTC)	MDL-CR-007; Advanced credit RWA	Sections 4, 6
API-11 Loan Servicing API	Balances, delinquency, remaining life, repricing	MDL-CR-007; MDL-ALM-014	Sections 6, 11
API-12 Market Data API	Prices, curves, volatilities	MDL-ALM-014; VaR; collateral valuation	Sections 6, 9, 11
API-13 FX Rates API	Spot and forward FX rates	VaR; non-USD exposure conversion	Sections 6, 9
API-14 Macroeconomic Scenario API	Scenario paths and weights	MDL-CR-007; MDL-CAP-003	Sections 6, 13
API-15 Treasury Liquidity Positions API	HQLA, cash flows, balance sheet positions	MDL-ALM-014; MDL-CAP-003; LCR/NSFR	Sections 11, 12
API-16 Regulatory Reporting API	Regulatory capital, RWA, leverage exposure	MDL-CAP-003; FR Y-9C; Pillar 3	Sections 3, 4, 5, 13
API-09 Credit Decisioning API	Origination decisions and scorecard outputs	Credit monitoring (indirect to MDL-CR-007)	Section 6
API-08 Fraud Risk Signals API	Real-time fraud scores	Operational risk loss data	Section 10

In 2025 the Firm completed the migration of the Regulatory Reporting API and the Macroeconomic Scenario API to the strategic data platform, and introduced automated reconciliation between API-16 outputs and the general ledger at the legal-entity level. Data-quality exceptions on critical data elements are reported monthly to the Data and Technology Risk Committee; no exceptions with a material impact on reported capital ratios occurred during the year.

16. Remuneration and Risk Alignment

The Firm's compensation philosophy aligns pay with sustained performance and sound risk management. The Compensation & Management Development Committee of the Board, composed entirely of independent directors, approves the incentive compensation pool and the compensation of the Operating Committee. The Chief Risk Officer and Chief Compliance Officer provide input on risk and control outcomes for every business and for individual material risk takers.

Incentive compensation for material risk takers is subject to deferral of at least 40% (60% for the Operating Committee) over three to five years, delivered predominantly in restricted stock units. Deferred awards are subject to clawback and cancellation provisions triggered by misconduct, material financial restatement or risk-related losses. In 2025, 1.1% of eligible employees had incentive compensation reduced for risk, control or conduct issues.

2025 compensation of material risk takers (\$mm)	Operating Committee	Other MRTs
Number of individuals	14	2,310
Fixed compensation	18	1,240
Variable compensation - cash	34	1,560
Variable compensation - deferred equity	152	1,720
Deferred compensation outstanding (unvested)	498	4,860
Reductions for risk / conduct (ex post)	0	41

Glossary

Term	Definition
Advanced approaches	Capital rules using internal estimates of risk parameters to calculate RWA.
ASF / RSF	Available / required stable funding in the NSFR calculation.
CVA	Credit valuation adjustment: market value of counterparty credit risk on derivatives.
EAD	Exposure at default.
IRC	Incremental risk charge for default and migration risk in trading positions.
SA-CCR	Standardized approach for counterparty credit risk.
SSFA	Simplified supervisory formula approach for securitization exposures.
Stressed VaR	VaR calibrated to a one-year period of significant financial stress.
TTC	Through-the-cycle parameter estimates used for regulatory capital.
Collins Floor	Requirement to use the lower of Standardized and Advanced capital ratios.

SYNTHETIC DOCUMENT FOR A PROOF OF CONCEPT. Meridian Harbor Financial Corp. is a fictional institution. All names, figures and events are invented and do not describe any real company.